

CHAPTER 13 - Summary

I would classify both my mother and grandmother as traditional Southern cooks. Their style was very much of the “finger” variety. While they may have a broad recipe to go by, the food usually was sampled with many tastings and the adjusted to the individual’s preferences, etc. I spent a lot of time as a child in the kitchen making chocolate chip cookies with both of them (also known as my chunky years). That style of cooking often reminds me of asset allocation and investing. As long as you have some flour, baking soda, sugar, eggs, butter, and chocolate chips – the exact amount really doesn’t matter. Some people like vanilla in the recipe, other people nuts, and some even more chocolate. But as long as you have some of all of the main ingredients, the results are usually similar, and delicious. (I rarely made it to the final product as I was more of a cookie batter kid.)

Investing is similar. As long as you have some of the main ingredients –stocks, bonds, and real assets- the exact amount really doesn’t matter all that much. Does adding small allocations to emerging bonds (nuts), frontier markets (vanilla), or more chocolate chips (stocks) vastly change the outcome? Not really. The only thing that does really alter the outcome is if you go and mess with all the ingredients while they are cooking - a sure recipe for disaster. The single biggest take away from this book is to not ruin your allocation by paying too much in fees.

Below is a quick summary of the findings from this book. Many of the steps below are similar to the same suggestions we provided in our first book, – [The Ivy Portfolio](#), back in 2009.

- Any asset by itself can experience catastrophic losses.
- Diversifying your portfolio by including uncorrelated assets is truly the only free lunch.
- 60/40 has been a decent benchmark, but due to current valuations, it is unlikely to deliver strong returns going forward.
- At a minimum, an investor should consider moving to a global 60/40 portfolio to reflect the global market capitalization, especially right now due to lower valuations in foreign markets.
- Consider including real assets such as commodities, real estate, and TIPS in your portfolio.
- While covered more extensively in our other three books and white papers, consider tilting the equity exposure to factors such as value and momentum. Trendfollowing approaches work great too.